SavePredictedExams — SME

Economics

Higher level / Standard level
Paper 2

SME Mark Scheme — Paper 2 Moderate

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1. Use the question-specific mark scheme together with the mark bands. Award up to the maximum marks as indicated.

2. Whenever relevant, carry-over (OFR) marks must be awarded.

3. A candidate may be penalised once for rounding errors, missing units, or not giving answers to 2 d.p., across all subparts of (b) questions.

Question 1 — Vietnam

1. (a) (i) Define the term **foreign direct investment (FDI)** (Text B, Paragraph 1). **[2]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*Vague definition.* The idea that FDI involves foreign investors putting funds into another country.	1
2	*Accurate definition.* An understanding that FDI is long-term investment by an individual, firm or government in acquiring or establishing a controlling interest in a business enterprise in another country.	2

1. (a) (ii) Define the term **negative externality** (Text B, Paragraph 4). **[2]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*Vague definition.* The idea that a negative externality imposes a cost on others.	1
2	*Accurate definition.* An understanding that a negative externality is a spill-over cost imposed on a third party (not involved in the transaction) by the consumption or production activities of others.	2

1. (b) (i) Calculate the percentage change in Vietnam's real GDP between 2010 and 2022. **[2]**

Real GDP 2010 = $116 bn; Real GDP 2022 = $409 bn.

% change = [(409 – 116) / 116] × 100   [1]

Any valid working is sufficient for [1].

Answer = 252.59% (award [2] with correct units/working; [1] for answer alone).

1. (b) (ii) Calculate the average annual FDI inflow into Vietnam from 2018 to 2022. **[3]**

Average = (19.1 + 20.3 + 19.0 + 19.7 + 22.4) / 5   [1]

= 100.5 / 5   [1]

Answer = $20.10 billion (correct units required for full marks). [1]

1. (c) AD/AS diagram — FDI benefits economic growth. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For an AD/AS diagram showing AD shifting right (FDI raises investment component of AD) and/or LRAS shifting right (new capital raises productive capacity) OR an explanation that FDI increases investment [1], raising real GDP/economic growth [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct diagram AND an explanation that FDI increases investment component of AD [1] and/or shifts LRAS right via capital accumulation and technology transfer [1], leading to economic growth.	3-4

Candidates who incorrectly label diagrams can be awarded a maximum of [3].

1. (d) Negative externality diagram — pollution from foreign firms. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For a negative externality of production diagram with MSC > MPC and a welfare-loss triangle OR an explanation that pollution imposes costs on third parties [1], causing the market to over-produce relative to the social optimum [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct negative production externality diagram (MSC > MPC, welfare loss shaded) AND an explanation that private producers ignore the external cost of pollution [1], leading to over-production and a welfare loss [1].	3-4

1. (e) Demand and supply diagram — subsidised fertiliser in rice market. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For a demand and supply diagram showing supply shifting right (fall in costs from subsidy) OR an explanation that cheaper fertiliser reduces the cost of rice production [1], raising quantity supplied and lowering price [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct demand and supply diagram showing supply curve shifting right with P falling and Q rising AND an explanation that cheaper fertiliser reduces cost of production [1], so supply rises, price falls and quantity traded rises [1].	3-4

1. (f) Tariff/import diagram — EVFTA tariff reduction. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For a tariff diagram with the world supply + tariff line falling to the world supply line OR an explanation that lower tariffs raise imports from the EU [1] and reduce Vietnamese production [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct tariff diagram (with tariff removed, imports rise and domestic supply falls) AND an explanation that lower tariffs increase EU imports [1] and reduce producer surplus and output of domestic Vietnamese producers [1].	3-4

1. (g) Evaluate whether FDI is the most effective strategy for promoting economic development in Vietnam. **[15]**

Command term 'evaluate' *requires candidates to make an appraisal by weighing up strengths and limitations. Opinions and conclusions should be supported by appropriate evidence and sound argument.*

Answers **may** include:

- Definition of FDI and of economic development.
- Economic models: AD/AS diagram; poverty cycle; possible negative externality diagram; discussion of alternative strategies (trade liberalisation, interventionist policies, aid, ODA).
- **Strengths:** record $22.4 bn FDI inflow in 2022 (Text B, 1); job creation via MNCs (Samsung, Intel); technology transfer and global value chain participation; EVFTA/CPTPP support export-led growth; real GDP rose from $116 bn to $409 bn (Text A, 1); low unemployment 2.2% (Text A, 6).
- **Limitations:** value added often retained by MNCs; local suppliers struggle to meet standards (Text B, 3); environmental damage and negative externalities (Text B, 4); rural underemployment (Text A, 6); dependence on 'China plus one' strategy exposes Vietnam to global shocks.
- **Alternatives:** continued trade liberalisation (CPTPP/EVFTA), strengthening domestic firms, investment in education and vocational training (Text A, 6), environmental regulation/carbon pricing (Text A, 7).
- **Synthesis / conclusion:** FDI is clearly a major driver but not sufficient on its own. A balanced approach (FDI plus supply-side policies, supplier development and environmental regulation) is most likely to deliver sustainable economic development.

Marks	Level descriptor
0	*The work does not meet a standard described by the descriptors below.*
1–3	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant. The response contains no evidence of synthesis or evaluation. The response contains no use of text/data.

4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. The response contains limited use of text/data.
7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. The response includes some relevant information from the text/data.
10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. The use of information from the text/data is generally appropriate, relevant, and applied correctly.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. The use of information from the text/data is appropriate, relevant, and is used to formulate a reasoned argument supported by analysis/evaluation.

Question 2 — Kenya

2. (a) (i) Define the term **inflation**. **[2]**

Level		**Marks**
0	*The work does not meet a standard described by the descriptors below.*	0
1	*Vague definition.* The idea that inflation is a rise in prices in an economy.	1
2	*Accurate definition.* An understanding that inflation is a sustained increase in the general (average) price level of goods and services in an economy over a given period of time.	2

2. (a) (ii) Define the term **customs union**. **[2]**

Level		**Marks**
0	*The work does not meet a standard described by the descriptors below.*	0
1	*Vague definition.* The idea that a customs union involves countries trading together.	1
2	*Accurate definition.* An understanding that a customs union is a group of countries that adopt free trade amongst themselves plus a common external tariff (CET) against non-members.	2

2. (b) (i) Calculate the percentage depreciation of the Kenyan shilling against the US dollar between 2018 and 2022. **[3]**

Exchange rate 2018 = 101 KES / US$; 2022 = 118 KES / US$.

% change in KES per US$ = [(118 – 101) / 101] × 100   [1]

= 16.83% depreciation of the shilling.   [1]

Award [1] for correct answer with working; [1] for correct units (%); [1] for identifying this as a depreciation.

Answer = 16.83% depreciation

2. (b) (ii) Foreign exchange diagram — current account deficit effect on shilling. **[2]**

For a correctly labelled foreign-exchange diagram (price of currency vs. quantity), with supply of KES shifting right and/or demand for KES shifting left, showing the value of the KES falling. Award **[2]** for a correct diagram; **[1]** for a partial diagram.

2. (c) AD/AS diagram — higher global fuel prices / cost-push inflation. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For an AD/AS diagram with SRAS shifting left OR an explanation that higher fuel prices raise production costs [1], causing the price level to rise and real output to fall [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct AD/AS diagram (SRAS shifting left, rise in P, fall in Y) AND an explanation that higher fuel prices raise costs [1] producing cost-push inflation [1].	3-4

2. (d) Effect of higher interest rates on AD. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For an AD/AS diagram with AD shifting left OR an explanation that higher interest rates raise borrowing costs [1], reducing C and I and hence AD [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct AD/AS diagram with AD shifting left AND an explanation that higher interest rates discourage borrowing [1], reducing consumption and investment so AD falls [1].	3-4

2. (e) Tariff diagram — EAC common external tariff. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For a tariff diagram (world supply + tariff above world price) OR an explanation that the CET raises the price of imports [1] reducing consumer surplus [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct tariff diagram with clearly labelled world price, world + tariff price, consumer-surplus loss, producer gain, revenue and welfare loss AND an explanation of the impact on Kenyan consumers [1] and welfare [1].	3-4

2. (f) Progressive income tax and inequality. **[4]**

Level		Marks
0	*The work does not meet a standard described by the descriptors below.*	0
1	*There is a correct diagram OR an accurate written response.* For a Lorenz curve diagram shifting towards the line of equality OR an explanation that a progressive tax takes a higher proportion of income from high earners [1], funding transfers to low-income households [1].	1-2
2	*There is a correct diagram AND an accurate written response.* For a correct Lorenz curve diagram AND an explanation that a progressive tax reduces post-tax inequality [1] and can be used to fund redistributive transfers [1].	3-4

2. (g) Discuss the economic impact on Kenya of membership in the East African Community (EAC). **[15]**

Answers **may** include:

- Definitions of customs union, trade creation, trade diversion, economic integration.
- Diagrams: tariff diagram, demand and supply, AD/AS.
- **Benefits:** tariff-free access to a larger market; trade creation for Kenyan cement/steel/food producers (Text B, 2); economies of scale; political cooperation; possible FDI attraction.
- **Limitations:** increased competition from cheaper Tanzanian/Ugandan producers (Text B, 2); the CET may raise prices for Kenyan consumers (Text B, 3); trade diversion risks (Text B, 4); regulatory challenges; macro vulnerability given large current account deficits (Table 2).
- **Synthesis / conclusion:** a reasoned judgement — typically that EAC membership is net-positive for Kenya but depends on competitiveness, complementary supply-side reforms, and whether trade creation outweighs trade diversion.

Marks	Level descriptor
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10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. The use of information from the text/data is generally appropriate, relevant, and applied correctly.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. The use of information from the text/data is appropriate, relevant, and is used to formulate a reasoned argument supported by analysis/evaluation.